

Table 7.1 Identification Guidelines

Characteristic	Discussion
Appearance	Price forms twin bottoms at or near the same price with an unusually tall left side. A well-formed pattern should remind you of a big W (that is, if price on the right side rises to match the left).
Price trend	Downward, leading to the first bottom. Look for a long, steep drop often at least the height of the pattern (from the lower of the two valleys to the peak between the valleys) above the top of the pattern. See text.
Volume	Downward the majority of the time, but don't exclude a big W with a rising volume trend.
Breakout direction, confirmation	To break out, price has to close above the peak between the two bottoms, confirming the pattern as valid. Without an upward breakout, you don't have a big W.
Duration	No minimum duration and the longest pattern I studied is about 9 months wide.